POLICY BRIEF — CLIMATE COST RECOVERY IN THE STATES

National Conference of State Energy Committees, spring issue

Briefs are prepared for the information of members and do not represent the position of the Conference or of any member state.

WHERE THE STATES STAND

13 states considered cost-recovery legislation in the last two sessions and 7 enacted it. 7 enacted measures are in litigation. Legislative interest has been concentrated in coastal states and in states with large flood exposure.

DESIGN CHOICES MEMBERS ASK ABOUT

The three questions the Conference is asked most often are how far back the charge should reach, how the covered class should be defined, and whether the fund should be confined to in-state projects. On the first, enacted measures cluster at three to five years. On the second, members report that proportionate tests are attractive in drafting and troublesome in application. On the third, confinement to in-state projects is nearly universal and is usually required by the state's own constitution.

ADMINISTRATIVE EXPERIENCE

Two states with enacted measures report that the greatest administrative difficulty has been obtaining the revenue data needed to apply the coverage test, since state energy agencies hold in-state sales but not total revenue. Both resolved it by requiring a sworn filing from each seller. One reports that 7 sellers it expected to cover proved not to meet the test.

FEDERAL CONTEXT

Members should be aware that the federal posture on greenhouse gases has changed and is under challenge. The Conference does not advise on the consequence for state authority.

Prepared by Conference staff.